IN THE DISTRICT COURT A KOFORIDUA HELD ON TUESDAY THE 15TH DAY OF APRIL 2025 BEFORE HER WORSHIP NANA AMA DABBAH FYNN NKANSAH (MRS)

SUIT NO: A2/49/24

SUCCESS TRUST MICRO CREDIT ENTERPRISE
ASARE ORIGINAL PAY OFFICE
OGUAA STREET-KOFORIDUA

VRS

1. **JONATHAN OSEI**
2. **BORBORYOE LAWRENCE**

BOTH OF OTERKPOLU-SOMANYA

JUDGMENT

On the 23/11/22, by a Writ of Summons, the Plaintiff commenced these proceedings against the Defendants seeking the following reliefs:

a. Recovery of an amount of GHS 32,149.92 being the principal amount the Defendants received as loan from the Plaintiff, together with interest and penalty thereon.

b. Interest on the said amount till date of final payment

c. Cost including legal fees.

PLAINTIFF'S CASE

It is the case of the Plaintiff that it is a registered financial institution engaged in the business of money lending. That on 26th of June 2019, the Defendants acquired a loan of GHS500 payable within 3 months at an interest rate of 10% per month; causing the amount payable at the end of the loan term to be GHS 650.00. It is Plaintiff's case that during the loan term, the Defendant paid GHS 437.00 only and refused to make any further payments. Plaintiff states that it is a condition of the loan agreement that the amount outstanding at the end of the loan term shall attract a 30% monthly penalty

rate, as such, same was applied to the Defendants and as at the date of filing this suit, the amount payable by Defendants was GHS 32,149.92 hence this suit.

DEFENDANTS' CASE

Though 1st Defendant does not deny the fact that he acquired a loan of GHS 500 from the Plaintiff at the period stated, he disputes the penalty rate on the basis that he was bereaved and had to perform the funeral rites of his late brother. That after the loan term, on 6/7/20, he made payment of GHS 200 and subsequent payments totalling GHS 3000 after the loan term. In essence, Defendant prayed the court to declare that he was no longer owing the Plaintiff as the final GHS 1200 he paid to Plaintiff at the Police Station was contingent on the agreement between both parties as final settlement.

LAW ON THE STANDARD OF PROOF.

The ***"Standard of Proof"*** in civil matters is unambiguously stated in the **EVIDENCE ACT, 1975 (NRCD 323)** to be ***"proof on the preponderance of probabilities"***. It is settled that a party who asserts the occurrence and/or existence of a state of fact has the burden of proof on that assertion and must adduce enough evidence to avoid a ruling against him/her on that matter.

On the authority of **ABBEY VRS. ANTWI (2010) SCGLR** 16 at holding 2 the Honorable Court held that:

> ***"It is trite that where a party makes an assertion capable of proof in a certain way e.g. by producing documents, description of things or references to other facts, instances or circumstances and his averment is denied, he does not prove it by merely going into the witness box and repeating that averment on oath, or having it repeated by his witness. He proves it by producing other evidence of***

facts and circumstances, from which the court can be satisfied that what he avers is true."

See the cases of **MAJOLAGBE VRS. LARBI AND OTHERS (1957) GLR 190** and the case of **SARKODIE VRS. FKA COMPANY LTD (2009) SCGLR 65**, where the Honorable Court reiterated, the relevant portions of the ***Evidence Act, ACT 323 sections 11 and 12*** as follows;

11(4) "in other circumstances the burden of producing evidence require a party to produce sufficient evidence so that on all the evidence a reasonable mind could conclude that the existence of the fact was more probable than its non-existence."

12(1) "Except as otherwise provided by law, the burden of persuasion requires proof by a preponderance of the probabilities

12(2) "preponderance of the probabilities" means that degree of certainty of belief in the mind of the tribunal of fact or the court by which it is conceived that the existence of a fact is more probable than its non-existence".

The bone of contention in this case is whether or not the Plaintiff is entitled to the reliefs they seek.

Clearly, this is quite a straightforward issue of breach of contract on the part of the Defendant, as the law is settled that parties to a contract would not be permitted to avoid the contract terms unless, there are valid lawful reasons to do so. It is not the duty of the court to make contract for parties. Therefore, where the terms of a contract have been reduced into writing, the court would interpret them to give effect to the intention of the parties.

See: POKU v GHANA COMMERCIAL BANK [1989-90] 2 GLR 37 CA

It is settled law, that a person of full age and of sound mind would be bound by the contents of a document he has signed, whether he read it or not. This is particularly in the absence of any requisite evidence that he was misled or coerced to sign it.

See: INUSAH v D.H.L WORLDWIDE EXPRESS [1992] 1 GLR 267
YAW OPPONG v ANARFI [2011] 32 GMJ 118 SC

TWUM v SGS LIMITED [2011] 30 GMJ 92 CA

The exceptions to the above principles can arise where there has been established any of the factors which can vitiate a contract such as, unconscionability, illegality, misrepresentation, duress, undue influence, fraud, etc. Therefore, unless any of the above factors is proved, parties are not to resile from their agreed terms.

The principal enactments regulating financial transactions are the **LOANS RECOVERY ACT 1918 ACT 175, BORROWERS AND LENDERS ACT, 2020 (ACT 1052) and NON-BANK FINANCIAL INSTITUTIONS ACT, 2008 ACT 774.**

In the instant case, the Plaintiff tendered in evidence all the loan contract agreements and the detailed statement of account of the Defendant. From the reading of Exhibit E, it depicts that as at the 7/10/2019, the amount unpaid by the Defendant was GHS 213.00 which attracted the penalty rate of 30% per month, and upon the calculation of the compound interest, the amount had leapt to GHS 32,149.92 as at 6/05/22, thirty months thereon despite several payments of about GHS 3000 made by the 1st Defendant.

The Loans Recovery Act of 1918 provides in section 1[1] that: -

"1[1] The Court may re-open a transaction where the transaction is harsh and unconscionable or is otherwise a transaction in respect of which a Court of equity would give relief."

Considering the rate at which the meagre amount of GHS 213.00 outstanding has exponentially increased even within the space of thirty months, the need has arisen for this court to determine whether the contract terms between the parties were in fact unfair, harsh, excessive or unconscionable, as to nudge this Court to exercise its jurisdiction vested in it under the Loan Recovery Act 1918, Act175.

In the case of **N.D.K. FINANCIAL SERVICES LTD v JOGIS LIMITED& 2 ORS** Civil Appeal H1/62/2008 delivered on 12th June, 2008, it was held thus;

'A contract or a clause in a contract that is so grossly unfair to one of the parties because of stronger bargaining powers of the other party is usually held by the Courts to be void as against public policy and therefore unconscionable. Any contract which no man in his right senses, and is under no delusion would make, on the one hand, and one which no fair and honest man would accept on the other hand is classified as unconscionable. See HUME Vrs. U.S. 132 US.406, 10 SCE.134, 336 Ed.398. The term is also described as a doctrine under which courts may deny enforcement of unfair or oppressive contracts because of procedural abuses arising out of the contract formation, or because of substantive abuses relating to terms which violate reasonable expectations of parties, or which involve gross disparities in price, either abuse can be the basis for a finding of unconscionability. It has been stated that the basic test of unconscionability of contract is whether under circumstances existing at the time of making of the contract and in the light of general commercial background and commercial needs of particular trade or case, clauses involved are so one sided as to oppress or unfairly surprise the other party. This was the decision in DIVISION OF DOUBLE SERVICE INC Vrs. MOBIL OIL CORPORATION 60 Mass 2d. 720,304 NYS 2d 191 at 201. The doctrine of unconscionability is generally recognized, as held in GORDON Vrs. CROWN CENTRAL PETROLEUM CORP. DC CA.423 F. supp.58,61, to include an absence of meaningful choice on the part of one of the parties to a contract together with contract terms which are unreasonably favourable to the other party'.

From the tenor of the above cited case, it appears the court was of the view that a reasonable man will never enter into a contract, an unconscionable one at that, if he is not hard-pressed to do so, and the lender observing that the borrower is stuck in between a rock and a hard place, and is in dire need of money, and is willing to accept any terms in order to get the money, will conveniently become the borrower's knight in shining armor to rescue the borrower from their current struggles; the condition attached to this rescue of course is the unconscionable terms.

Having regard to the prevailing commercial realities, this Court finds that the terms of the contract between the parties are not only unfair but deliberately skewed to operate to the exclusive benefit of the Plaintiff, to the grave disadvantage of the Defendants. Such lopsided terms offend the principles of equity and good conscience.

Indeed, while the law imposes a duty on every debtor to settle their indebtedness, such responsibility cannot and must not be enforced through terms so unconscionable and oppressive as to shock the very conscience of the Court.

Having given due consideration to the facts and circumstances of this case, this Court finds it wholly untenable to suggest that any rise in inflation or interest rates between October 2019 to May 2022, no matter how construed, could reasonably transform the sum of GHS 213.00 into the GHS 32,149.92 now claimed by the Plaintiff.

Furthermore, the Court notes that prior to the commencement of this suit in November 2022, the 1st Defendant had already paid a total amount of GHS 3,473.00 in respect of a loan originally due in the sum of GHS 650.00 by 30th September 2019.

It is the considered opinion of this Court that the amount of GHS 3,473.00 paid by the Defendants constitutes full and sufficient satisfaction of the debt arising from the said

loan agreement. Accordingly, the Court holds that the Plaintiff is not entitled to any further payment from the Defendants in relation to the said loan.

There shall be no order as to costs.